FMCG Sector Analysis India 2025

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EXECUTIVE SUMMARY

Indian FMCG sector recovering from urban consumption slowdown with rural demand acting as key growth driver. Volume growth recovery expected in H2 FY25. We maintain NEUTRAL stance with selective stock picking recommended.

SECTOR DYNAMICS

Rural Recovery

- Rural FMCG growth at 8.2% vs urban 5.1%, gap widening
- Good monsoon FY24 supporting agri income and rural spending
- Government transfers and NREGA spending boosting disposable income
- 2-wheeler sales as proxy: rural up 14% vs urban up 7%

Premiumization Trend

- Premium products growing 2x faster than mass market
- Health and wellness category growing 22% YoY
- Direct-to-consumer brands gaining 3-4% market share
- Modern trade and e-commerce now 28% of FMCG sales

Input Cost Environment

- Palm oil prices stable, down 18% from peak
- Crude derivative packaging costs declining
- Gross margin expansion of 150-200 bps expected in FY26
- Companies reinvesting savings in A&P to defend market share

TOP PICKS

1. Hindustan Unilever (HUL) - BUY, Target Rs 2,800
   - Volume recovery play, rural exposure beneficial
   - Margin expansion on track, 23% EBITDA margin target FY26
2. ITC - BUY, Target Rs 520
   - Cigarette pricing power, FMCG scale benefits emerging
   - Hotels business value unlocking, 28x P/E attractive
3. Dabur - EQUAL WEIGHT, Target Rs 580

   - International business headwinds, domestic recovering
4. Marico - BUY, Target Rs 680
   - Parachute coconut oil pricing cycle turning positive
   - Vietnam business recovery adding to growth

RISKS

- Heat wave impact on summer product demand
- Competition from regional players with lower prices
- Raw material price reversal if El Nino impacts monsoon

CONCLUSION

FMCG sector offers defensive characteristics with moderate growth. Prefer companies with strong rural exposure and premiumization capability. HUL and ITC are top picks.